

CAMPBELL UNIVERSITY SCHOOL OF LAW
FINAL EXAM
CIVIL PROCEDURE — FALL 2025
PROFESSOR SMITH MORGAN

This exam is six pages long (including this one). Please check to see that you have all six pages.

GENERAL INSTRUCTIONS:

- As discussed in the syllabus, you may make use of **any written or printed material** you bring into the exam room with you, including your casebook, outlines, slides, commercial hornbooks, etc. You **may not** access *new material* after having started the exam, and you may not access any material on the internet or make use of an AI/LLM. **By turning in the exam, you certify your compliance with these instructions and that all work on the exam is your own.**
- You should not indicate your identity in your exam answers, and you should not talk to me about the exam prior to receipt of your grade. Any questions or concerns *during* the exam should be directed to the proctors, who will contact me if necessary. You should not discuss the exam with others prior to the receipt of grades.

CONTENTS:

- You have **four hours** for this exam, which consists of three essay questions. At the top of each essay question, I have provided a **point value**, a **suggested time expenditure**, and a **maximum word count**.
 - Compared to the practice assessments, the word limits in this exam are very generous. It is very possible to fully answer the questions in many fewer words than the limit, and you should not take the limits as suggesting that answers shorter than the maximum are *necessarily* inadequate.
- Within the issue-spotters, not all issues are created equal. Some can be dispatched quickly; others require more analysis. Making that judgment is a skill being tested on this exam.
- Similarly, not all issues are explicitly stated. That does not mean they are not issues to be spotted.
- Organize your answers clearly. Each of the questions has obvious internal sub-questions, and you are encouraged to use those sub-questions to organize your answer. **Given the number of issues and rules implicated in each question, it is impracticable to do a huge rule dump at the top of the question, and I discourage it.** State your rules when applying them within each sub-question.

Good luck! I'm rooting for you!

QUESTION ONE (40 points, ~2 hours, 3000 words)

Dream Architects Ltd. (DAL) is a Delaware corporation HQed in Los Angeles, California. DAL is the world's leading manufacturer of proprietary dream-sharing technology, including the PASIV ("Portable Automated Somnacin Intra-Venous") device. The PASIV's core component, the "Limbic Link Unit" (LLU), is exclusively manufactured by a German company, Die Traumschmiede (DTS). DTS has no US presence and does not sell products directly into the US market, but DAL is its largest customer, and DTS ships LLUs directly to DAL in Los Angeles.¹

Saito is a citizen of West Virginia. He purchased a PASIV device directly from DAL online. When Saito used the device, attempting a dream-within-a-dream scenario (as advertised), the LLU malfunctioned. This caused a catastrophic "dream collapse," causing the PASIV to short out and causing an electrical fire that destroyed a neighboring theater. The theater was owned by **Eames**, who is domiciled in California. Eames suffered \$250,000 in damages.

Saito's wife, Mal, filed suit against **DAL** in West Virginia state court, alleging a claim for breach of implied warranty stemming from the faulty LLU and seeking \$75,000 for the loss of the PASIV device (purchased from the couple's joint bank account) and minor damage to their shared property. DAL successfully moved to dismiss with prejudice on a state-law procedural ground (failure to prosecute, after Mal took too long to serve discovery).

Six months later, **Saito** and **Eames** filed a lawsuit in West Virginia federal court, naming both **DAL** and **DTS** as defendants. In the complaint,

- Saito restates Mal's previous claim for breach of implied warranty against DAL (this time with him as the plaintiff), this time adding six months' worth of interest to the damages total to make the total \$75,672.
- Eames asserts a negligence claim against DAL and DTS. The elements of negligence in West Virginia are (1) duty, (2) breach, (3) causation, and (4) damages. West Virginia courts utilize the doctrine of *per se* negligence, under which a defendant's violation of a federal law or regulation can establish the elements of duty and breach. Eames seek to establish negligence by arguing that the defendants violated the recently enacted Federal Dream-State Stabilization Act (FDSA).

The relevant provisions of FDSA are as follows:

§ 205(a): No person shall sell into interstate commerce a dream-sharing device capable of generating dream-within-dream scenarios.

¹ For the numerically minded among you: 48% of DTS's sales are to DAL. 33% of DAL's sales are domestic, and of those, 2% are to West Virginia.

§ 210(r)(4): Violators of § 205(a) shall be subject to a penalty of \$10,000 per infringing sale, assessed by the Federal Food & Drug & Dream Agency (FDDA).

§ 219: Nothing contained in [the FDSA] shall be interpreted to authorize the entry of an injunction against the sale of any dream-sharing device.

As relevant here, West Virginia law states:

1. That its courts may exercise personal jurisdiction “to the fullest extent permissible under the Fourteenth Amendment.”
2. That West Virginia follows the majority rule for all aspects of *res judicata*.

Prior to filing an answer, the defendants make the following motions:

First, both defendants file a joint Rule 12 motion:

- a. **Both defendants move to dismiss under Rule 12(b)(2); and**
- b. **DTS argues that the claim against it should be dismissed or severed under Rule 20.**

Second, both defendants file another joint motion the next day:

- c. **Both defendants move to dismiss Eames’s negligence claim under Rule 12(b)(1); and**
- d. **DAL argues that if the court dismisses Eames’s negligence claim as described in (c) it must also dismiss Saito’s breach claim.**

Finally, DAL files a motion for summary judgment:

- e. **DAL argues that Saito’s breach claim is precluded by the West Virginia state court judgment.**

How should the court rule on each of the pending matters before it, and why?

Address each pending matter independently and in order, without considering the effect that one might have on another, except to the extent to which the motions are obviously interrelated. (*e.g.*, if you conclude that the motion described in subpart (a) should succeed in full or part, I want you to nonetheless analyze the remaining motions. In doing so you needn’t waste words continually reminding me that the later motions are moot because you granted an earlier one). Your answer should address *any* issue(s) implicated by the parties’ actions, whether mentioned explicitly or not, and whether procedural or substantive.

QUESTION TWO (30 points, ~1.5 hours, 2500 words)

Claude Henry is a Michigan-based artist and devoted fan of the Detroit Pistons, a National Basketball Association (NBA) team headquartered and incorporated in the Eastern District of Michigan (EDMI). Henry's most famous works are his *Kebab* series, which feature deflated basketballs arranged in a grid, as shown on the left:



Prior to the start of the 2024-2025 NBA season, **the New Orleans Pelicans** (headquartered and incorporated in the Eastern District of Louisiana (EDLA)) released a series of promotional photos on their Instagram page and website featuring the team's players posing in front of similarly arranged deflated basketballs, as shown on the right above.

The NBA reposted the Pelicans' photos on its own social media accounts. The **NBA** is headquartered in the Southern District of New York (SDNY) and is a "private association" under New York law. Under New York law, private associations are the equivalents of partnerships, with each NBA team acting as a "partner."

After posts comparing the Pelicans' promotional materials to Henry's work started circulating on social media, the Pelicans released a statement categorically denying the comparison and suggesting that Henry was "a third-rate attention seeker who only created his derivative *Kebab* works after seeing similar, unpublished concept art that was pitched to the Pelicans months ago." (This statement is unquestionably false; Henry has been producing the *Kebab* series for more than a decade. But the Pelicans' press team is about as good as its basketball team, which is to say: not at all.) NBA Commissioner Adam Silver, when asked to comment while in Manhattan (*i.e.*, in SDNY), referred reporters to the Pelicans' statement and said the NBA stood by it.

Henry sued both the **Pelicans** and the **NBA** in federal court in SDNY for (1) copyright violation, and (2) defamation. He demanded \$1 million in damages.

The defendants immediately moved to dismiss for improper venue or to transfer venue.² The parties agree on the following: The Pelicans play at least one game a year in SDNY and one in EDMI, each time bringing more than 50 employees for 2-3 days and generating substantial local commerce. They also receive a share of the television revenue for all games played by the two NBA teams based in New York (and the one in Michigan). They sell merchandise online to New York (and Michigan) residents and ship merchandise to New York (and Michigan) retailers (none of which features the allegedly infringing photos). The Pelicans’ “wall of basketballs” backdrop was constructed in EDLA, and all promotional materials featuring it were shot, edited, and posted in EDLA from EDLA-based employees. The NBA’s social media accounts are run from its Manhattan office. The photos posted online are available nationwide. The NBA has 10x as many social media followers as the Pelicans.

The photos were also included in certain promotional material that was sent by email to individuals who previously had agreed to receive such promotional material. The parties are unaware if any individuals in receipt of the promotional emails live in SDNY, although the Pelicans concede that it is probable.

a. How should the court rule on the motion?

The NBA and the Pelicans also simultaneously moved to dismiss the defamation claim for lack of subject-matter jurisdiction.

b. How should the court rule on the motion?

Regardless of how you answered the previous two questions, **assume the defamation claim remains pending in the Southern District of New York.**

Henry’s complaint adequately pleads facts sufficient to permit a plausible inference that the Pelicans’ statement was false. However, New York recently enacted a law requiring a plaintiff asserting a defamation claim to “produce clear and convincing evidence” supporting the element of falsity³ at the time a complaint is filed, and authorizing courts to grant summary judgment to defendants prior to the start of discovery if a plaintiff cannot do so. Henry’s complaint contains only factual allegations—no evidence. Prior to the start of discovery, the defendants move for summary judgment, citing the New York law.

c. Should the court grant the motion?

² If you happen to be aware of its existence, you should **ignore the specific copyright venue statute and apply the default venue statute.**

³ The elements of defamation under New York law are: (1) a false statement; (2) made to third parties; (3) at least negligently; (4) causing damage.

QUESTION THREE (10 points, ~30 min, 1500 words)

As a 2L at Campbell Law School, you were delighted beyond measure to be invited by Professor Smith Morgan to be his teaching scholar for Civil Procedure, in light of the extraordinary achievements on your final exam, with answers that exceeded his wildest imagination and, frankly, expanded the frontiers of human knowledge.

Professor Smith Morgan was recently invited to the Indiana University-Purdue University Indianapolis Civil Procedure Professors, Academics, and Practitioners Scholarship Conference (IUPUICPPAPSC). An invitation to the IUPUICPPAPSC is one of the most coveted treasures in legal academia. Held primarily outdoors in resplendent Indianapolis in early February, hundreds of cold, damp legal scholars gather under bleak Midwestern skies to discuss ODIVOTTAOE, *Twiqbal*, NMOIP, NMDIP, and other CivPro-logisms.

Unfortunately, shortly before the conference, Professor Smith Morgan's kid got him sick again. He's asked you to fill in for him. He knows you'll love this because he was asked to deliver a lecture of **no more than 1500 words on whether North Carolina should adopt the federal pleading standard**. He had not written the lecture yet because he was busy coming up with joinder hypos, so you're on your own for this one. But he says you should **discuss the policy arguments for and against** the federal standard; the **costs, benefits, and consequences of each standard**; and ultimately **make a recommendation**.

[You do not need to format your answer like a lecture—just write an essay.]